

SEIS & EIS, without the mythology

Bundle Academy · Tax & structure · Level 2 · 3 min · Source document for NotebookLM video generation

What the reliefs actually do, what they never protect you from, and the paperwork that matters.

WHAT THIS VIDEO MUST LAND

By the end the viewer should be able to state the argument below in their own words. It is one argument, not a list of tips. Every number is illustrative of published ranges, not a forecast of any specific investment.

- SEIS 50% and EIS 30% income-tax relief, plus loss relief on failure.
- Relief cuts the downside; it does not remove risk or add liquidity.
- Hold at least three years or the relief is clawed back.
- You claim against an SEIS3 / EIS3 certificate, not against advance assurance.

THE ARGUMENT, IN ORDER

1 What the relief is worth

Narration: SEIS gives 50% income-tax relief, EIS 30%, on qualifying investments. That is a discount on entry, not a floor under the value.

On screen: A bar chart measured in % of your investment back as relief: SEIS income-tax relief = 50 % of your investment back as relief; EIS income-tax relief = 30 % of your investment back as relief.

Hold: about 7 seconds

2 The downside case, with and without

Narration: On a £10,000 SEIS investment that goes to zero, relief plus loss relief can leave a higher-rate taxpayer roughly £2,750 out of pocket instead of £10,000.

On screen: A bar chart measured in net loss on £10,000: No relief = 10000 net loss on £10,000; EIS, after relief = 4200 net loss on £10,000; SEIS, after relief = 2750 net loss on £10,000.

Hold: about 9 seconds

3 What it never does

Narration: It does not make a bad company good, does not create liquidity, and does not survive you breaking the holding rules.

On screen: A stat visual.

Hold: about 7 seconds

4 The paperwork that decides it

Narration: No certificate, no relief. The company applies, HMRC issues the form, you claim. Advance assurance is a signal, not a guarantee.

On screen: A timeline visual.

Hold: about 8 seconds

5 How to use it

Narration: Let it improve the risk of a deal you already wanted. Never let it be the reason you wanted the deal.

On screen: A stat visual.

Hold: about 6 seconds

THE SAME ARGUMENT IN PROSE

SEIS and EIS are the UK's schemes for pushing private capital into young companies, and they do it by rebating part of your investment against income tax: 50% for SEIS, 30% for EIS, within annual limits.

The more important feature is loss relief. If the company fails, you can usually set the net loss against income or capital gains, which is why the worst case on an SEIS investment for a higher-rate taxpayer is a fraction of the cheque rather than the whole thing.

What the schemes never do is change the company's prospects, shorten the holding period, or create a buyer. They also come with conditions: minimum three-year holds, restrictions on connection to the company, and the requirement that the shares are newly issued ordinary shares paid in full.

The paperwork is the part that trips people up. Relief is claimed against a certificate the company issues after trading for four months, not against your bank transfer. Advance assurance tells you HMRC expects the company to qualify; it is not the certificate and it is not a promise.

tone and constraints

- **Never give advice.** Describe how the asset class behaves. Do not tell the viewer what to buy, how much to invest, or that anything is a good opportunity. No "you should", no "we recommend".
- **Do not invent numbers.** Use only the figures in this document. If a figure is not here, leave it out rather than estimating one.
- **Keep the risk honest.** Losing everything is the single most likely outcome for any one early-stage company. Never soften that, and never end on a purely upbeat note that contradicts it.
- **Plain English.** UK spelling. Expand any term the first time it appears. No hype words: no "unlock", "supercharge", "game-changing", "revolutionary".
- **Calm, factual delivery.** This is an explainer, not a pitch. No urgency, no countdowns, no scarcity.
- **No specific companies.** Do not name real companies as examples, and do not imply any listing is available or recommended.

BASIS OF THE FIGURES

Illustrative, at rates current for 2026. Tax treatment depends on your circumstances and can change. Not tax advice.

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